been primarily entered into to avoid taxes. Once an arrangement is ruled 'impermissible' then the tax authorities can deny tax benefits. Most aggressive tax avoidance arrangements would be under the risk of being termed impermissible. It has a provision according to which the onus to prove that an arrangement is 'impermissible' will lie with the tax department. The GAAR panel, the final body that will decide on the applicability of the law, will include an independent member. The rule can apply on domestic as well as overseas transactions.

- GAAR is a very broadbased provision and can easily be applied to most tax-saving arrangements. Many experts feel that the provision would give unbridled powers to tax officers, allowing them to question any taxsaving deal. Foreign institutional investors are worried that their investments routed through Mauritius could be denied tax benefits enjoyed by them under the Indo-Mauritius Tax Treaty. The proposal *(announced in on May 8, 2012)* had spooked stock market as FII inflows dropped on concerns, and the rupee hit a low of Rs. 53.47 to the Dollar.

Meanwhile, the government has postponed GAAR to the next financial year (i.e., 2014-15). This will give a breather to tax payers and also allow the government time to frame clear rules after consultations with stakeholders.

EURO ZONE CRISIS & INDIA

The unfolding of Euro Zone Crisis, the austerity measures in advanced economies, recession in many euro zone countries, risk on/risk off behaviour of investors and the uncertainty surrounding the future of euro zone have adversely affected the global economy. The fallout for the Indian economy has been as given below –

- A sharp deceleration in *exports* and a slowdown in GDP growth;
- *Import* demand, however, has remained resilient because of the continued high international oil prices that did not decline, unlike what happened after the *Lehman meltdown* of September 2008.